

Nepal Agency Act, 1957

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Nepal Agency Act, 2014

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Amending Acts

1. Nepal Agency (Amendment) Act, 2017 2018.1.4 2018.1.6

2. Some Nepal Laws (Amendment and Re-arrangement) Act, 2020 2020.1.16 2020.1.16

Certification and Publication Date

3. Republic Strengthening and Amendment of Some Nepal Laws Act, 2066 2066.10.7

Act No. 19 of the year 2014

An Act to Regulate Agency Related Work

Whereas, to prevent Agents, Distributors, Stockists, Nominees or Representatives from taking undue advantage in the sale of goods, and to regulate that work and make other related arrangements amended by the Some Nepal Laws (Amendment and Re-arrangement) Act, 2020. it is desirable to maintain the convenience and economic interest of the general public; therefore, this Act is enacted and issued by His Majesty the King. 1. Short Title, Extent and Commencement: (1) This Act may be called the "Nepal Agency Act, 2014".

(2) It shall come into force immediately throughout Nepal. 2. Definition: Unless the subject or context otherwise requires, in this Act-

(a) "Agent" means a person who takes an agency of a domestic or foreign firm for the whole of Nepal or any part thereof, and this word also denotes a person acting as a Distributor, Stockist, Nominee or Representative.

(b) "Registered Agent" means a person whose name is registered as an agent under Section 4 of this Act.

(c) "Prescribed" or "as prescribed" means prescribed by or as per the rules or orders under this Act. 3. Prohibition from Acting as Agent without Registration under this Act: After the commencement of this Act, no person shall be entitled to act as an agent without being registered as an agent under this Act. 4. Registration of Name as Agent: (1) Any person desiring to become an agent after the commencement of this Act shall submit an application to the prescribed authority stating the particulars as prescribed for registering his name as an agent.

(2) Upon receipt of an application under sub-section (1), the prescribed authority may, after requiring the

deposit of the prescribed fee and security and obtaining a bond as prescribed from the applicant, register the name as an agent.

(3) While registering a name as an agent under this Section, preference shall be given to citizens of Nepal. 5. Submission of Statement: Every registered agent shall submit to the authority a statement, in the prescribed form, of goods received, sold, and in stock, and the price thereof, at the prescribed times. Amended by Nepal Agency (Amendment) Act, 2017.6.

Agents Operating Before Commencement of this Act: All approvals granted by the Government of Nepal before the commencement of this Act in relation to acting as an agent shall be required to be renewed within the period prescribed by the Government of Nepal by publishing a notice in the Nepal Gazette. If not renewed within such period, such approvals shall not remain in force. 7. Penalty for Breach of Bond: If an agent violates the bond executed by him under sub-section (2) of Section 4, the Government of Nepal may prohibit him from acting as an agent for up to five years or impose a fine of up to Rs. 500. 8. Penalty for Violation of Section 3: If any person violates Section 3, the Government of Nepal may impose a fine of up to Rs. 1,000 on such person. 9. Other Penalties: Without prejudice to the penalties specified in the foregoing Sections, any person contravening any provision of this Act or of the orders or rules made under this Act may be prohibited by the Government of Nepal from acting as an agent for up to 2 years or be fined up to Rs. 200. 10. Power to Issue Orders and Make Rules: (1) The Government of Nepal may, from time to time, issue orders and make rules for carrying out the purposes of this Act. (2) Without prejudice to the generality of the power conferred by sub-section (1), such orders and rules may, in particular, provide for the following matters:- (a) Prescribing the authority under this Act. (b) The particulars to be stated in the application for registration of name as an agent. (c) The form of the bond. (d) The fee to be deposited for registration of name as an agent. (e) The period for acting as an agent, the renewal thereof, and the fee to be deposited for renewal. (f) The time for submitting to the prescribed authority the statement of goods received, sold, and in stock, and the price thereof, by a registered agent, and the form of such statement. (g) The procedure for making amendments or additions to the particulars furnished under sub-section (1) of Section 4 or for altering the bond executed under sub-section (2) of Section 4, and (h) The procedure to be followed when a registered agent needs to increase or decrease the price according to the statement submitted by him under Section 5. 11.